

IN THE SUPREME COURT OF INDIA

Mehta Realty Projects vs Shanti Devi & Ors. ... on 11 November, 2023
(2023) 5 ALD 210, AIR 2024 SC 189
Bench: B.R. Gavai, J. and Vikram Nath, J.

JUDGMENT

B.R. Gavai, J.

1. This appeal arises out of a civil suit for Specific Performance of an Agreement to Sell registered under the Indian Registration Act, 1908. The plaintiff/appellant seeks execution of sale deed and permanent injunction under Order 39 Rule 1 and 2 of the Code of Civil Procedure, 1908 (CPC) in respect of commercial property situated in Bengaluru.
2. The respondent/vendor contended that time was of the essence of the contract and the appellant failed to tender the balance consideration of Rs. 2.4 Crores within the stipulated 90 days. The vendor accordingly invoked the forfeiture clause under Section 74 of the Indian Contract Act, 1872.
3. Mr. Rohatgi, learned Senior Counsel for the appellant, argued that in contracts relating to immovable property, time is ordinarily not of the essence unless expressly provided. He demonstrated that the appellant was continuously ready and willing to perform his obligations in terms of Section 16(c) of the Specific Relief Act, 1963.
4. Counsel relied upon the landmark Constitution Bench judgment reported in (1993) 1 SCC 519 in the case of Chand Rani v. Kamal Rani, and the recent ruling in (2020) 13 SCC 285 in the case of Sughar Singh v. Hari Singh holding that readiness and willingness must be gathered from contemporaneous conduct.
5. Having examined the bank statements and balance deposits tendered in escrow, we hold that the appellant established readiness and willingness under Section 16(c) of the Specific Relief Act, 1963. The trial court erred in declining specific relief.

6. The appeal is allowed. The respondents are directed to execute the conveyance deed upon receipt of the remaining consideration within eight weeks.

Vikram Nath, J. - I agree.